

Chapter 13

Dhandho 402: Invest in Low-Risk, High-Uncertainty Businesses

Papa Patel, Manilal, Branson, and Mittal are all about investing in low-risk businesses. Nonetheless, most of the businesses they invested in had a very wide range of possible outcomes. The future performance of these businesses was very uncertain. However, these savvy Dhandho entrepreneurs had thought through the range of possibilities and drew comfort from the fact that very little capital was invested and/or the odds of a permanent loss of capital were extremely low. Both of these are highly desirable characteristics in an investment. Beyond that, the picture was quite fuzzy. Their businesses had a common unifying characteristic—they were all low-risk, high-uncertainty businesses.

They hadn't calculated the Kelly Formula odds but intrinsically understood that there was a good chance of making many times their investment and a very small chance of losing the investment. It was a simple bet: Heads, I win; tails, I don't lose much!

Wall Street sometimes gets confused between risk and uncertainty, and you can profit handsomely from that confusion. The Street just hates uncertainty, and it demonstrates that hate by collapsing the quoted stock price of the underlying business. Here are a few scenarios that are likely to lead to a depressed stock price:

- High risk, low uncertainty
- High risk, high uncertainty
- Low risk, high uncertainty

The fourth logical combination, low risk and low uncertainty, is loved by Wall Street, and stock prices of these securities sport some of the highest trading multiples. Avoid investing in these businesses. Of the three, the only